

Modification #1 to Contract #7405**CONTINGENCY AND DEVELOPMENT AGREEMENT****Microsoft Datacenter: 2021 Expansion**

This Agreement is entered into by and between the City of Cheyenne, a municipal corporation organized under the laws of the State of Wyoming (“City”), 2101 O’Neil Avenue, Cheyenne, Wyoming 82001, and Microsoft (Company), a Washington corporation (“Company”), This Agreement shall become effective upon the date of the last signature affixed hereto.

WHEREAS, the purpose of the Business Ready Community Program (“BRC”) is to promote economic development at the city, town, and county levels in order to create additional economic health and a stronger state economy; and

WHEREAS, the BRC program allows for grants to defray the costs of communication and electrical utilities to encourage the development, recruitment or expansion of data generation, and information technology storage operations; and

WHEREAS, the City is an eligible Applicant to the BRC; and

WHEREAS, the City will comply and adhere to the Wyoming Preference Act (Wyo. Stat. §§ 16-6-201 through 16-6-206) and all other Wyoming Statutes that apply; and

WHEREAS, the Company will contribute economically to the community by creating jobs, investing in development of facilities, and broadening the City’s economic and tax bases.

NOW, THEREFORE, in consideration of the promises and agreements contained herein, the parties agree as follows:

Article I.
Project Description

The City shall apply for and obtain for the ultimate benefit of the Company, a BRC grant for the purpose of reducing operating costs at the Company’s data center facility. It is anticipated by the parties that these reduced costs will provide public benefits by allowing the Company to generate revenues, increase employment, make investments, and otherwise expand the beneficial economic impact of its operations in the City of Cheyenne and the State of Wyoming.

Article II.
City’s Responsibilities

The City shall:

- A. Prepare and submit a BRC grant application for a Grant (“Grant”) in the amount of Two Million Two Hundred Fifty Thousand Dollars (\$2,250,000.00).
- B. Accept the Grant award upon approval by the Wyoming State Loan and Investment board and undertake all project administration requirements of the Grant.

- C. Contingent upon award of the Grant and upon receipt of invoices substantiating communication and electrical utility expenses incurred by the Company including, without limitation, any such costs incurred in the commissioning of its facility, and upon receipt by the City or its agent from the Company of evidence towards meeting public benefit requirements set forth below, the City shall seek reimbursement of 100% of these costs from the Grant as provided under guidance from the Wyoming Business Council. The Company shall provide City with detailed invoices, which shall be submitted to the City's Grants Manager. Payment shall be made in accordance with Wyo. Stat. § 16-6-602 (as amended).

Article III. Company's Responsibilities

The Company shall, contingent upon (i) the award of the Grant on terms acceptable to the Company by not later than June 30, 2022, and (ii) the Company's obtaining all necessary permits (collectively, the "Conditions"):

- A. Provide in consideration for the Grant, the following public benefits:
1. Expand its existing data center operations in the City of Cheyenne by investing approximately Fifty Million Dollars (\$50,000,000.00) in on-site site development and/or construction.
 2. Pay or invest no less than Fifty-One Million Four Hundred Six Thousand Two Hundred Fifty Dollars (\$51,406,250.00) of combined wages and capital expenditures within five (5) years of first receiving Grant funds. No less than One Million Four Hundred Six Thousand and Two Hundred Fifty Dollars (\$1,406,250.00) of this amount shall be wages. The wages counted towards these amounts must be paid to positions with wage rates that exceed \$24.14 per hour (150% of most recently announced average weekly wage for Laramie County per Wyoming Department of Employment as of July 1, 2021).
 3. Microsoft will make good-faith efforts to work with the City, the political subdivision, and Laramie County on community initiatives once the data center is operational.
- B. Company will provide to the City an annual certification of payroll and investment as evidence towards meeting the public benefit requirements set forth above for a period of five (5) years. Furthermore, the Company understands that additional documentation or evidence of payrolls and investment or other public benefit may be required by the Wyoming Business Council and the Company agrees to provide such additional documentation or evidence as may be reasonably required to substantiate the amount of wages and capital expenditures paid or invested by the Company.
- C. Promptly repay with all Grant funds paid to it during the elapsed term of the Grant by the City plus interest at 2% per annum, in the event that it ceases operating its

data center facility in the City of Cheyenne within five (5) years of first receiving Grant funds from the City. Temporary cessations of operations arising out of casualty damage, or repairs, maintenance, server migrations, or renovations/upgrades shall not be considered ceasing operations for purposes of this Subsection C. Repayment of such Grant funds including the rate of return shall be the exclusive remedy of the City for any failure by the Company to perform its obligations under this Article III.

- D. Provide information, assistance, and consultation to the City in the preparation and submission of the BRC application.
- E. Maintain any and all records, documents, and data pertaining to job creation, wages paid, capital investment, and other consideration provided in exchange for the Grant funds and, subject to the Company's reasonable confidentiality requirements, provide these records to the City upon request by the City. Company's records are deemed confidential business information and trade secret and will not be subject to Freedom of Information Act requests.
- F. Comply with all other requirements of the Grant, to the extent approved by the Company at the time of Grant award.

Article IV. Parties Common Agreements

- A. The parties acknowledge and agree that the period of payments from the Grant is three (3) years from the date of the Grant agreement between the Wyoming Business Council and the City. Both parties acknowledge and agree that the performance period of the Company to provide public benefits is five (5) years from the date of the first payment of Grant funds to the Company.
- B. The parties agree that this Agreement is contingent upon receipt of Grant funds by the City and is intended to meet the first level of convincing evidence of development and public benefit as required by the BRC program.
- C. The parties agree that in the event that the City does not receive an award of the Grant from the Wyoming Business Council by June 30, 2022, that no party has any obligation under this Agreement and that this Agreement is void unless extended in writing by the parties.

Article V. Breach and Termination

Subject to the provisions of Article III, Subsection C, in the event that any party breaches this Agreement the other parties shall be entitled to an injunction or other appropriate remedy in order to compel the breaching party to abide by its obligations set forth herein.

Article VI.
Miscellaneous

- A. This Agreement consisting of six (6) pages represents the entire and integrated agreement and understanding between the parties and supersedes all prior negotiations, statements, representations, and agreements, whether written or oral.
- B. Neither this Agreement, nor any rights or obligations hereunder, shall be assigned or delegated by a party without the prior written consent of the other party.
- C. This Agreement shall be modified only by a written agreement, duly executed by all parties hereto and with the approval of the Wyoming Business Council's Chief Executive Officer.
- D. The parties understand and agree this Agreement shall be governed by and interpreted pursuant to the laws of the State of Wyoming without regard to its conflicts of laws principles. If any dispute arises between the parties from or concerning this Agreement or the subject matter hereof, any suit or proceeding at law or in equity shall be brought in the District Court of the State of Wyoming, First Judicial District, sitting at Cheyenne, Wyoming. The foregoing provisions of this paragraph are agreed by the parties to be a material inducement to the Company and the City in executing this Agreement.
- E. The City does not waive its Governmental/Sovereign Immunity, as provided by any applicable law including Wyo. Stat. §§ 1-39-101, *et seq.*, (hereinafter referred to as the "Act") by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of this Agreement. Designations of venue, choice of law, enforcement actions, and similar provisions should not be construed as a waiver of sovereign immunity. Any actions or claims against the City under this Agreement, to the extent that the same are permissible under the terms of this Section and/or applicable law, must be brought in accordance with the procedural requirements of the Act. Further, the City fully retains all immunities and defenses provided by law with regard to any action, whether in tort, contract or any other theory of law, based on this Agreement.
- F. Nothing in this Agreement is intended by the parties or shall be construed to create an employer/employee or principal/agent relationship between the parties. The parties do not intend to create in any other individual or entity the status of third-party beneficiary, and this Agreement is not to be construed so as to create such status. The rights, duties, and obligations contained in this Agreement shall operate only between the parties to this Agreement and shall inure solely to the benefit of the parties to this Agreement.
- G. The Company shall release, indemnify, and hold harmless the City and its officers, agents, employees, successors and assigns from any cause of action, or claims or demands arising out of the Company's performance of its obligations under to the City under Article III, Sections A.2 and A.3, and Article III, Sections B through E, of this Agreement.

- H. The Company shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act, Wyo. Stat. § 27-9-105, *et seq.*, and the Americans with Disabilities Act (ADA), 42 U.S.C. § 12101, *et seq.* The Company shall assure that no person is discriminated against based on the grounds of age, sex, race, religion, national origin, or disability in connection with the performance of this Agreement.
- I. The parties agree to comply with all applicable federal, state, and local laws and regulations in the performance of this Agreement.
- J. All notices arising out of or from the provisions of this Agreement shall be in writing and given to the parties either by regular mail or delivery in person.
- K. The term of this Agreement is from the date of the last signature affixed below through five (5) years from the receipt by the Company of the first payment of Grant funds provided under this Agreement.

[REMAINDER OF PAGE INTENTIONALLY LEFT BLANK]

Signature Page

IN WITNESS WHEREOF the parties have caused this Agreement to be executed on the days and dates set out below.

CITY OF CHEYENNE, WYOMING

By: _____
Patrick J. Collins, Mayor

Dated: _____

(SEAL)
Attest:

By _____
Kristina F. Jones, City Clerk

REVIEWED AND APPROVED AS TO FORM ONLY:

Stefanie Boster, City Attorney

Dated: _____

MICROSOFT

By: _____

Print Name: _____

Title: _____

Dated: _____

Witness: _____